CHAPTER 12

Cash in the Cradle

We all know fairy tales don't usually come true. Children aren't deposited at your doorstep by money-savvy storks, just as your debts are paid off and the moving boxes are dropped in the foyer of your first house, for which you put down at least 20 percent. In fact, kids have a way of throwing all your financial plans out the window, because they cost money, period. How much? Somewhere between "more than you can imagine" and "not nearly as much as you think."

A few years ago, *Time* magazine reported that raising a kid to the age of eighteen costs the average family more than $200,000. That's without a postsecondary education. Add that, and you can more than double, maybe even triple, that figure, depending on where that kid goes to school and whether you're going to pay for it. (And remember, that's not a given, in my opinion. You should not put your retirement income in jeopardy in order to finance your child's postsecondary education.)

Mind you, having fewer children means fewer people contributing to the social safety net, so your retirement plans had better be based on the idea of self-sufficiency. You won't have kids to take you to the eye doctor, or someone to check in on you at home. More important, you can't move in with them in your old age if they don't exist. You'll need to hire people to take care of you, so you'd better budget accordingly.